

FTAI Aviation

NASDAQ: FTAI

PRICE: \$167.03 (OCT 2, 2026)

VERDICT: PASS

24-MONTH VALUE: \$181 (+8%)

Bull-Bear Debate and Company Evaluation

Data as of the October 2, 2026 close

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THE DEBATE: BEAR VS. BULL

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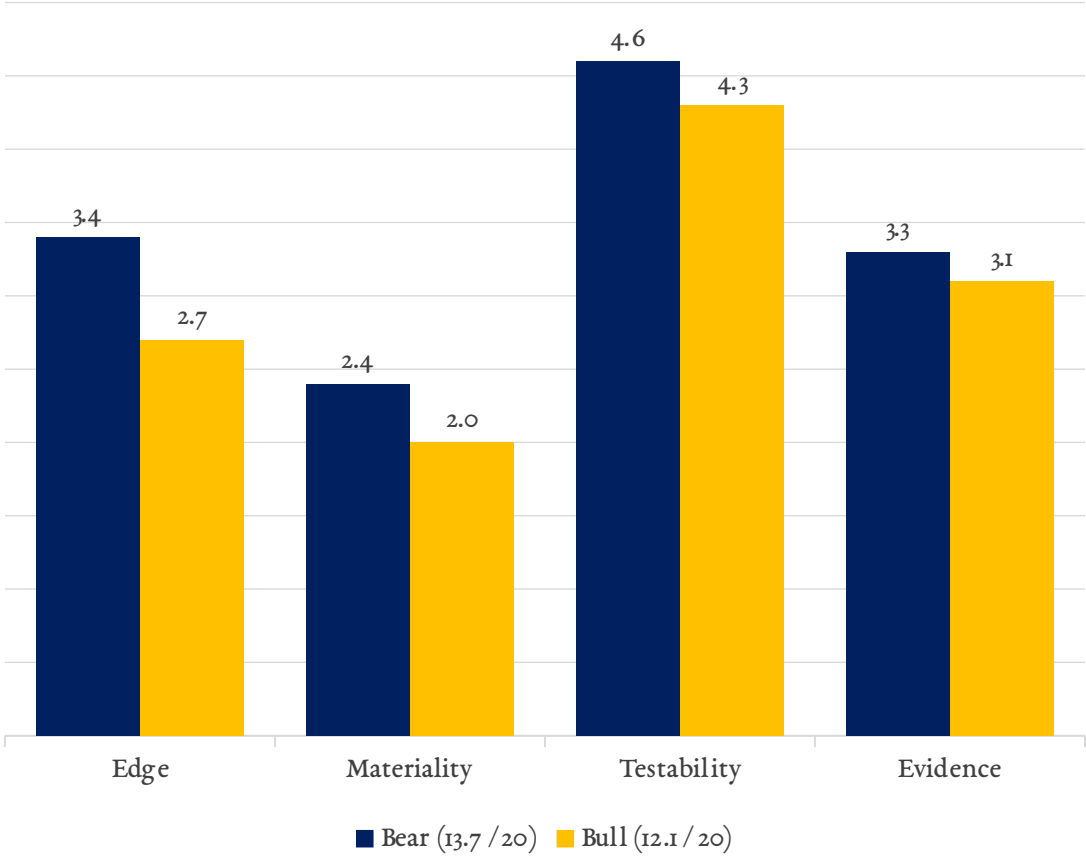
APPENDIX

I. The Debate: Bear vs. Bull

Consensus Baseline

- **Business:** CFM56 engine-module refurbishment (87% of TTM revenue), leasing moving into managed funds (SCI), new data-center gensets
- **Narrative:** aftermarket compounder taking share, plus an asset-light pivot and a power leg
- **Street:** 9 Buy / 2 Hold; mean target \$315.67; post-Q2 targets \$300-375
- **Positioning:** short interest 10.4% (from 6.1%); stock 48% below its Feb high
- **Price implies:** the \$2.3B 2027 plan on time, then +1.9%/yr forever
- **Live debate:** is the margin slide (35% to 28.5%) mix or price, and is Power durable?

Average Thesis Score by Dimension (1-5)



Edge to the bear: its core facts are already reported

Deciding variable: AP EBITDA margin, next two prints

Argued as a short-seller would | Scored on Edge, Materiality, Testability, Evidence (max 20)

#	ID	Lens	Thesis	Consensus → Ours	Score
1	S4	Macro /policy	EO 14420 rules could curb Jerreh-packaged Power gensets at US data centers	P(impaired) ~0% → ~25%	16
2	S2	Profit engine	AP margin slides to 27% or less in 2027; new volume earns only 22-24%	29.8% → 27% or less	15
3	S1	Expectations gap	A finite CFM56 harvest is worth ~6.5x 2027 EBITDA, not 9.6x	16.8x → ~6.5x	15
4	S6	Capital allocation	2026 Adj. FCF misses: H2 must deliver \$623M, 2.4x the first half	\$878M → \$750M or less	14
5	S8	Revenue: volume	Leasing/SCI EBITDA of \$375M or less in 2027; Q2'26 runs at ~\$353M	\$450M → \$375M or less	14
6	S7	Governance	Affiliate (SCI) maintenance sales pass 25% of AP revenue	Untracked → 25%+	14
7	S9	Macro	CFM56 retirements jump to 3.5%+ in 2028 as LEAP fixes land	1.5-2% → 3.5%+	13
8	S3	Optionality	Power earns \$300M or less in 2027: nothing shipped, one customer	\$450M → \$300M	13
9	S10	Moat trajectory	PMA stalls at 3 of 5 parts, capping the parts-cost edge	5 of 5 → 4 or fewer	12
10	S5	Industry structure	Share stalls at 18% or less as rivals copy the module format	~20% → 18% or less	11

Strongest: S4 is new: an Aug 26, 2026 executive order meets a Chinese partner

Best evidenced: S2, since the margin slide and 22-24% incremental margins are reported

Argued as a long PM would | Same scoring; L4 shares the Street's view, so it is labeled Consensus

#	ID	Lens	Thesis	Consensus → Ours	Score
1	L3	Industry structure	CFM56 retirements stay at 2% or less through 2028; GE has cut its view 3 times	Rising → 2% or less	14
2	L1	Revenue: volume	Share rises from 14% to 22%+ by end-2027 on 3,000 modules of capacity	~20% → 22%+	13
3	L4	Expectations gap	Consensus view: delivering the \$2.3B 2027 plan re-rates FTAI to 12x (~\$217)	9.6x → 12x	13
4	L8	Moat trajectory	SCI II raises \$2B+, widening a captive ~600-engine pool	Wind-down → \$2B+	13
5	L2	Optionality	Power earns \$600M+ in 2027 as follow-on orders arrive	\$450M → \$600M+	13
6	L7	Profit engine	PMA and normalizing worksopes lift AP margin back to 31%+ by 2028	~30% → 31%+	12
7	L5	Market structure	Index selling is spent; 10.4% short interest sets up a squeeze	10.4% → 7% or less	12
8	L6	Capital allocation	The \$500M buyback retires 3%+ of shares at a 48% drawdown	Flat → -3% shares	11
9	L10	Governance	Accounting overhang fades: odds of a restatement or SEC action 5% or less	Elevated → 5% or less	10
10	L9	Macro	The fuel shock drives 5+ new multi-year airline capacity deals	Unmodeled → 5+ deals	10

Strongest: L3, because GE keeps lowering its CFM56 retirement assumption

Hard data: share rose from 10% to 14% in two quarters (L1)

Three Strongest per Side, Each With a Dated Test				
ID	Thesis Bear	Catalyst & timing	Falsifier (dated)	Value if right
S4	EO 14420 curbs Jerreh-packaged gensets	DOE rules due 12/24/26	DOE exempts behind-the-meter or US-built units by 3/31/27	-\$18 to -\$41/sh
S2	AP margin of 27% or less in 2027	Q3'26 (10/28/26) and Q4'26 prints	AP margin 30%+ in both Q3'26 and Q4'26 (by 2/28/27)	-\$12/sh
S1	Finite CFM56 harvest: ~6.5x 2027 EBITDA	GE 2027-28 outlooks; 2028 guide	\$1B+ of 2028+ Power orders or a LEAP plan by 12/31/28	-40%
Bull				
L3	CFM56 retirements 2% or less to 2028	GE outlooks, Jan 2027 and Jan 2028	GE guides 2028 retirements of 3%+ (~1/2028)	+\$21 to +\$41/sh
L1	Share from 14% to 22%+ by end-2027	Q3'26 module count; 2027 guide	Share below 17% at Q2'27 (reported ~8/2027)	+\$12/sh
L4	Plan delivered, re-rate to 12x (~\$217)	2027 guidance (Feb 2027)	2027 segment EBITDA guide below \$2.1B	+30%

Dependency Check

- S3 and S4 are **one bet against Power**; L4 is just the value of L1 and L2 being delivered
- S2, S5 and S10 share one driver: **competitive and OEM pressure** on FTAI's pricing

Five Variables Decide the Debate					
Variable	Bull view	Bear view	Consensus	Price implies	Resolves (when)
AP EBITDA margin	31%+ by 2028 (L7)	27% or less in 2027 (S2)	29.8% (2027 plan)	~30%, sustained	Q3'26 (10/28/26) and Q4'26
2027 Power EBITDA	\$600M+ (L2)	\$300M; policy hit (S3, S4)	\$450M floor	~\$450M	DOE 12/24/26; Mod-1 3/31/27
FTAI market share	22%+ by 2027 (L1)	18% or less (S5)	~20% (plan)	~20%	Q2'27 print (~8/2027)
CFM56 retirement rate	2% or less to 2028 (L3)	3.5%+ in 2028 (S9)	1.5-2% (GE)	GE's path	GE outlooks, Jan '27 and '28
EV / 2027 EBITDA	12x on delivery (L4)	~6.5x harvest (S1)	16.8x (Street)	9.6x	2027 guide (Feb 2027)

- Where the Case Stands
- The bear side is modestly stronger (13.7 vs. 12.1 of 20) because its core facts are already reported
 - The decider is **AP EBITDA margin** over the next two prints: it separates mix from price
 - Flip to bull: AP margin 30%+ in Q3 and Q4'26 with 300+ modules a quarter, plus benign DOE rules

Next test: Q3'26 results on 10/28/26 (consensus EPS \$1.54)

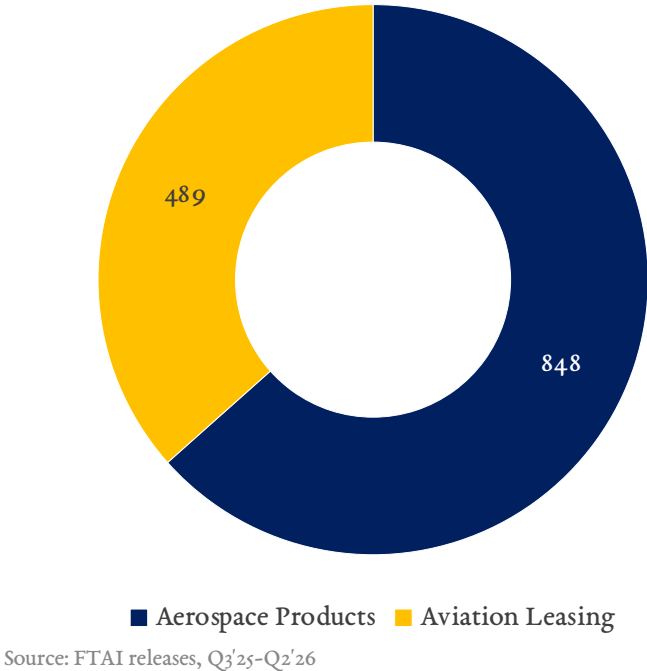
Policy test: DOE rules under EO 14420, due 12/24/26

II. Company Overview

Background

- FTAI Aviation (NASDAQ: FTAI), Cayman-domiciled; CEO **Joe Adams**
- Refurbishes and exchanges **CFM56** engine modules for 737NG and A320ceo fleets
- Module sites: **Montreal, Miami, Rome, Lisbon**; capacity raised to 3,000 a year
- Leasing book moving into managed third-party funds (**SCI**)
- **FTAI Power** (2026): CFM56 cores become 25 MW data-center gensets

TTM Segment EBITDA (\$M)



- Corporate & Other: **-\$145M** (incl. Power start-up)

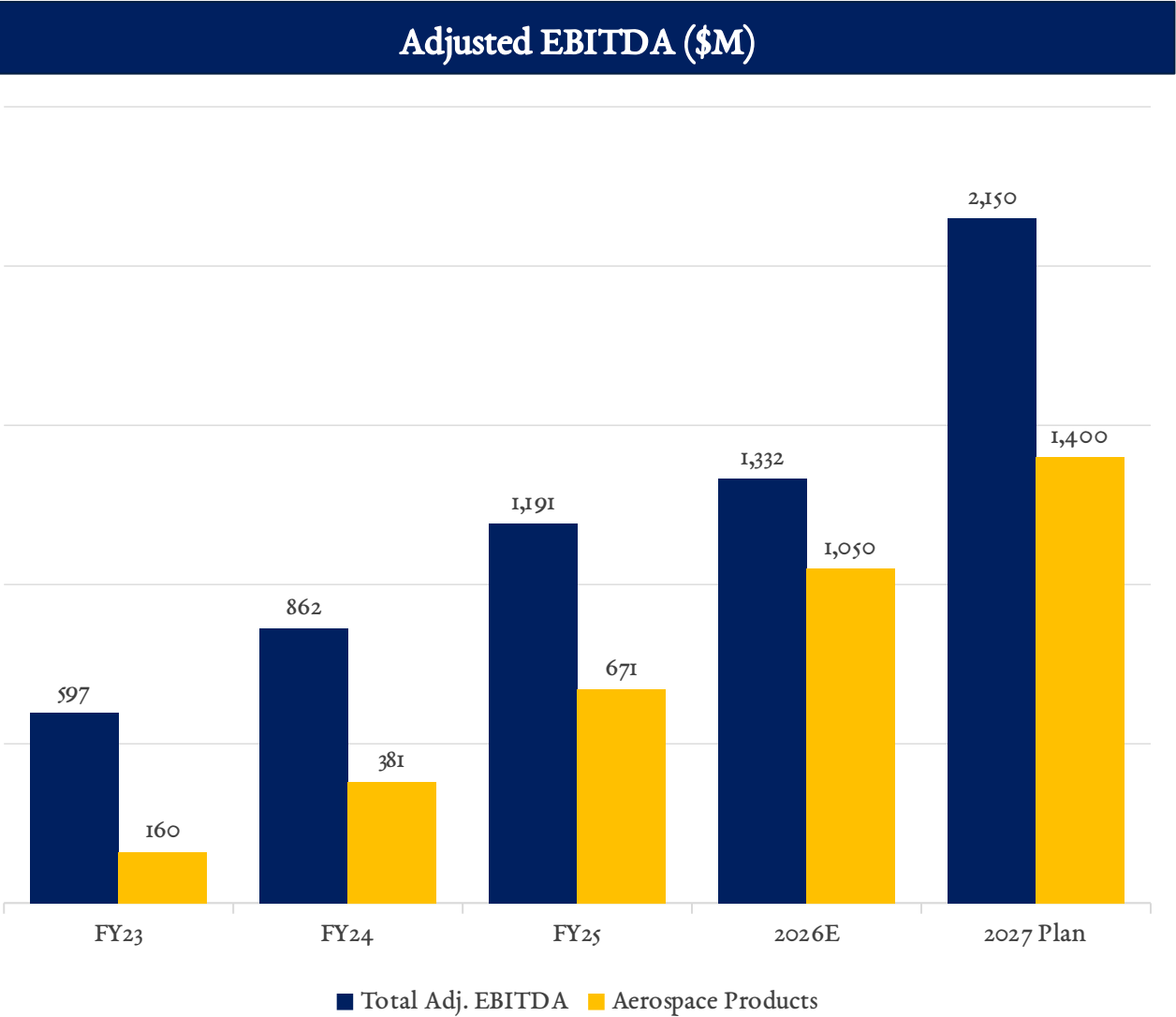
Business Lines

- **Aerospace Products:** modules, whole engines, PMA and used parts; **\$2.70B** TTM revenue
- **Leasing / SCI:** on-balance-sheet leasing plus fees and co-invest returns
- **FTAI Power:** gensets via J&F, a JV with China's Jerih; **\$1.465B** first order
- **2027 plan:** **\$2.3B** segment EBITDA (AP \$1.4B, Leasing \$450M, Power \$450M)

Key Metrics (10/2/26)	
Share price; 52-week range	\$167.03; \$149.50-\$323.51
Market cap / EV (diluted)	\$17.1B / \$20.6B
Net debt / TTM Adj. EBITDA	\$3.16B / 2.65x
TTM revenue (H1'26 growth)	\$3.11B (+51%)
TTM Adj. EBITDA	\$1.19B
Operating margin	20.4% Q2'26 (31.1% yr ago)
2026 Adj. FCF guide	\$878M (cut from \$915M)
SBC	0.9% of 2025 revenue
Diluted shares	100.4M (2023) to 103.9M (2025)
Dividend / buyback	\$0.50/qtr; \$500M authorized
EV / 2027 plan EBITDA	9.6x
P/E on 2027 plan EPS (~\$13.50)	12.3x

TTM Adj. EBITDA +38% in FY25 to \$1.19B

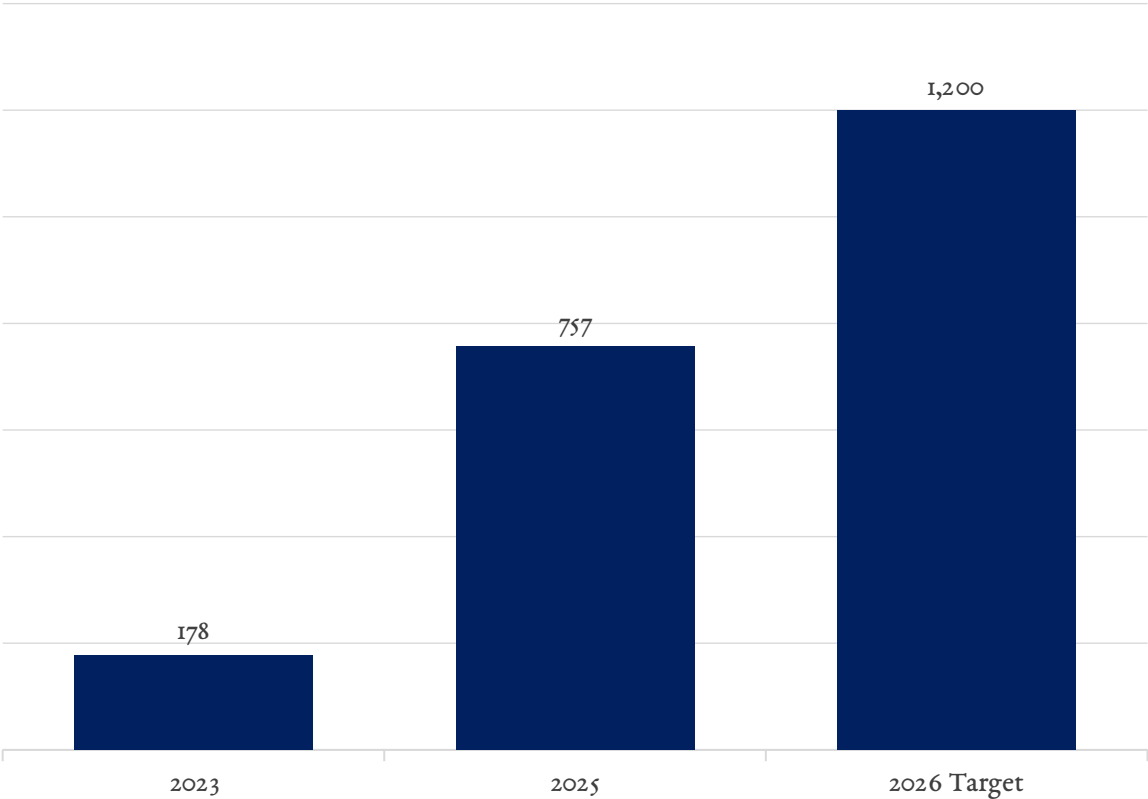
Two FCF views: company-adjusted vs. GAAP diverge



Source: FTAI releases and guidance; 2026E and 2027 total are estimates net of corporate costs

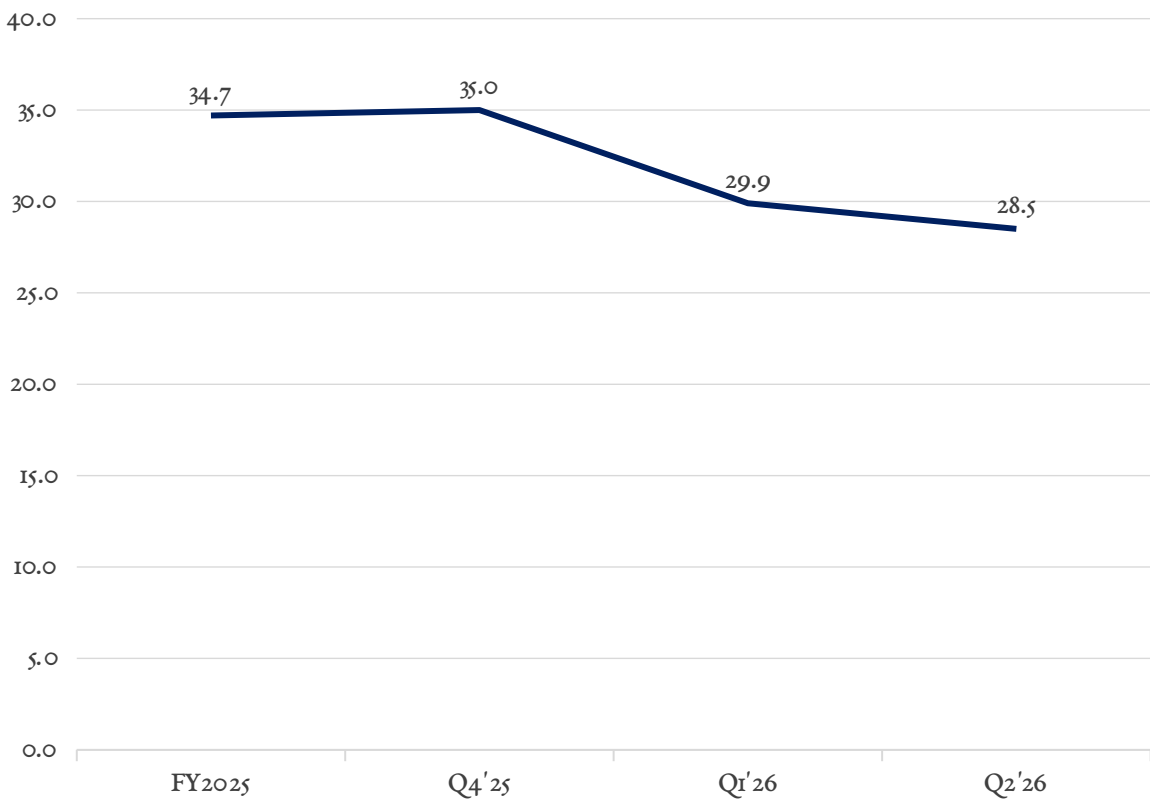
REVENUE ENGINE: VOLUME UP, MARGIN DOWN

CFM56 Modules Produced



Source: FTAI releases and calls; capacity is now 3,000 a year

Aerospace Products EBITDA Margin (%)



Source: FTAI releases and calls

Share 10% to 14% in two quarters

\$2.96M revenue per module (Q2'26)

22-24% incremental margin on new volume

\$844K EBITDA per module, down 6% YoY

The Job

- Restore a CFM56 engine at the lowest **combined cost** of parts and downtime
- Tear down used engines; rebuild modules with **used and PMA parts**
- Sell or exchange modules and whole engines

What Customers Use Instead

- OEM or licensed shop visit (StandardAero: **\$5.35B** engine services)
- In-house airline shops; green-time engine leases
- Doing nothing: **parking** the aircraft

Module Swap vs. Conventional Shop Visit

	FTAI module swap	OEM shop visit
Turnaround	5-25 days	120-180 days
Parts used	Used + PMA	New OEM
PMA savings	~\$2M a visit	None
Spare-engine rent	~3-6 months saved	Paid throughout

~1.04% a month: spare-engine rent avoided

3 of 5 PMA parts approved by Oct 2025

Value Chain Position

- Between **CFM** (new parts, LLP pricing, licenses; now an FTAI supplier) and **large airlines** that trade volume for price

Who Pays & Decides

- Airlines (big deals rising), MROs and lessors
- SCI funds: **21%** of AP revenue (affiliate)
- Last disclosed: 178 modules to 30 customers (2023)
- Tech-ops and finance decide; lessors set used/PMA rules

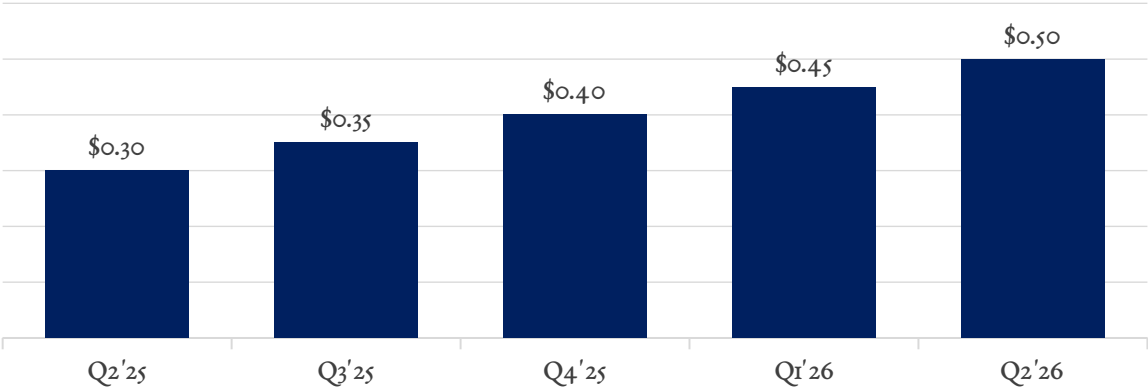
Switching Costs

- ~Zero for spot buyers; each shop visit is a new decision
- Higher under MRE contracts and GMF's **5-year** capacity deal

Capital Allocation

- Dividend raised four times in a year: **\$0.30 to \$0.50**/qtr (~\$205M/yr)
- **\$500M** buyback through Sept 2029 (2.9% of market cap)
- 8.25% Series C preferred (**\$105M**) redeemed June 2026
- **\$3.50B** of notes due 2028-33 (\$1.0B in 2028); **2.65x** net debt / EBITDA
- SBC only 0.9% of revenue, yet diluted shares **+3.4%** (2023-25)

Quarterly Dividend per Share (\$)



Source: FTAI quarterly releases

Governance & Accounting

- CEO pay **\$26.7M** in 2024 (\$23.7M in stock); PSU metrics not retrievable
- 2025 short reports: Audit Committee found claims **unsupported**; no restatement
- Clean control opinions (EY FY24, KPMG FY25); EY replaced, no disagreements
- Open: SDNY class action; affiliate SCI revenue; a **Chinese JV partner**

Open-Market Insider Trades

Date	Insider	Trade	Value
May 2026	Director M. Tuchman	Sold ~254K shares at ~\$241	~\$61.5M
Nov 2025	CEO J. Adams	Bought 2,000 shares at ~\$156	\$0.3M
Nov 2025	CFO E. Nam	Bought 652 shares at ~\$153	\$0.1M
Jul 2026	President D. Moreno	Bought 2,475 shares at \$201	\$0.5M

III. Industry & Competition

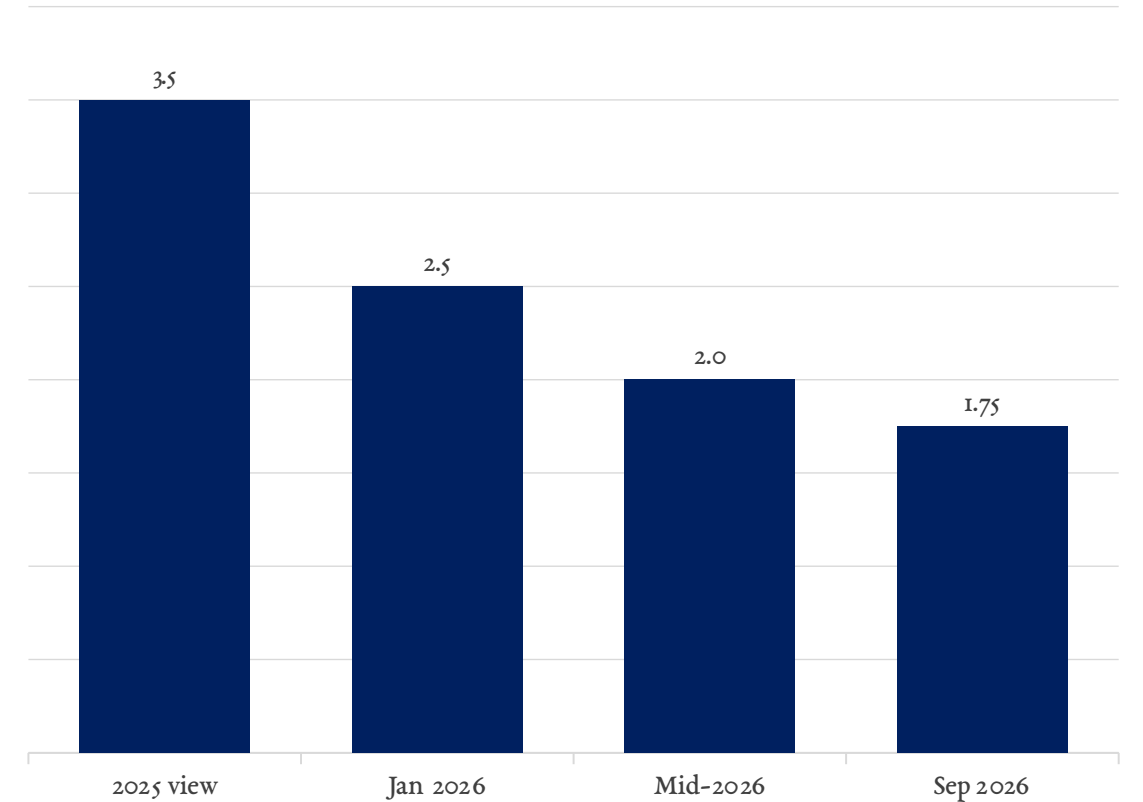
Market Dynamics

- ~23,000 CFM56 engines in service; ~30% yet to see a first shop visit
- GE: shop visits peaked in 2025, ~2,300-2,400 a year through 2027, then decline
- CFM56 + V2500 spend ~\$22-25B a year; FTAI share 14%
- LEAP-1B durability kit (~2x time on wing) in full production from 2027

Macro Overlay

- Jet fuel ~\$152/bbl; IATA halved 2026 airline profit to \$23B (2.0% margin)
- Fed hiked to 3.75-4.00% (9/16/26); 10-year ~4.75-4.8%

GE's 2026 CFM56 Retirement Assumption (%)



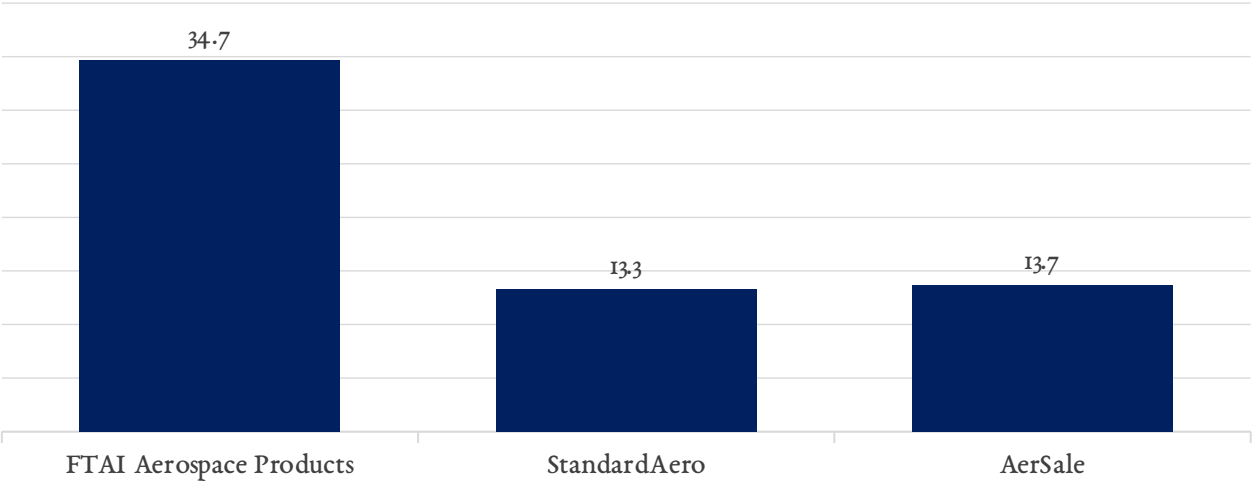
Source: GE Aerospace commentary via Aviation Week (2026); midpoints of stated ranges

Bull read (L2): the tail keeps lengthening

Bear read (S9): LEAP fixes reverse it from 2027

Who Else Restores CFM56 Engines (FY2025)				
Company	Model	Revenue	Adj. EBITDA	Threat
StandardAero	Licensed MRO	\$6.06B	\$808M	CFM56/LEAP capacity
Willis Lease	Lessor + MRO	\$0.73B	\$459M	Module Shop + CFM
AerSale	Used parts (USM)	\$0.34B	\$46M	Widebody focus
GE / CFM (OEM)	New parts + licenses	n/a	n/a	Now supplies FTAI
FTAI (AP segment)	Module swap + PMA	\$1.94B	\$671M	-

2025 Adj. EBITDA Margin (%): FTAI vs. Restoration Peers



Source: FY2025 releases; Willis Lease excluded (lessor economics)

Helmer's Powers: No Proven Moat		
Power	Evidence	Trend
Counter-positioning	OEM can't copy without cannibalizing	Thinning
Scale economies	Largest module pool; 5-25 day swaps	Stable
Cornered resource	Chromalloy PMA JV; ~600 SCI engines	Partial
Switching costs	Spot buys; MRE contracts stickier	Weak
Other powers	Network, brand, process: not evidenced	-

Evidence Tests

- Excess ROIC is only ~2 years old; untested in a downturn
- No price increase stuck: margins -6pp as share rose 10% to 14%
- Threats: Willis Lease **Module Shop**, StandardAero, CFM supply control

IV. Growth Legs: FTAI Power & SCI

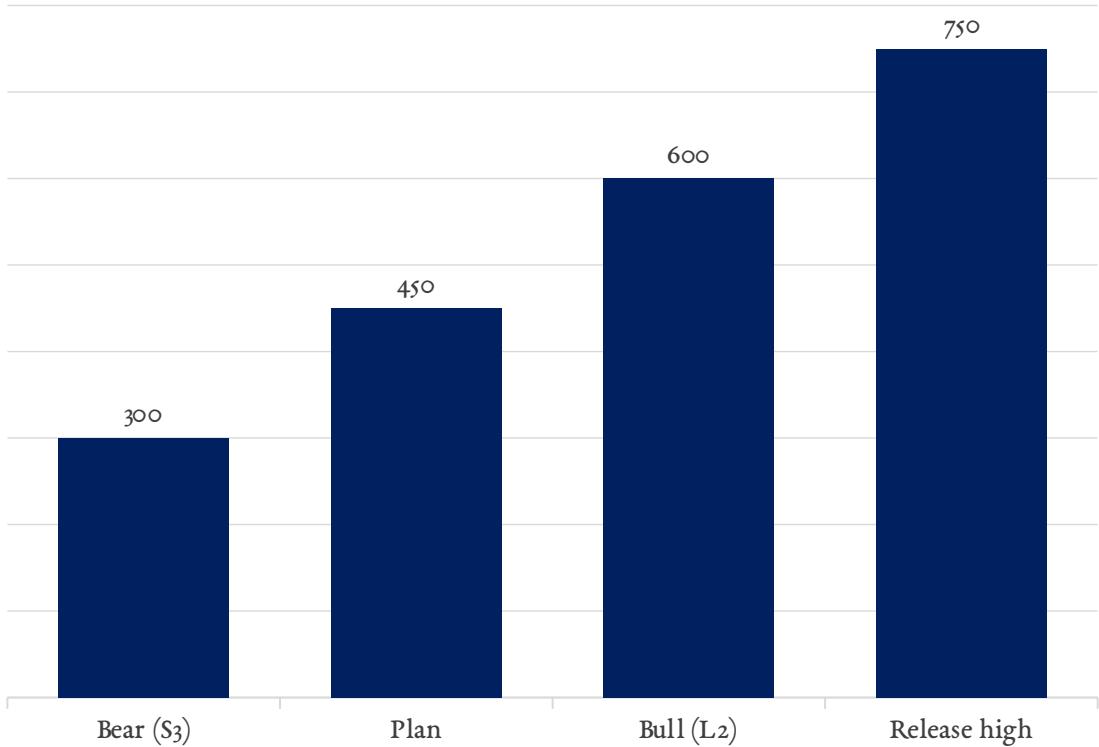
The Opportunity

- Turns surplus CFM56 cores into **25 MW** gas-turbine gensets
- J&F Power Systems (JV with **Jereh Group**, Yantai, China) packages and sells them
- First order **\$1.465B** (US hyperscaler); 5-year master agreement; deliveries to Nov 2027
- **100** units (~2.5 GW) planned for 2027; first delivery targeted for end-2026

Policy Risk (\$4)

- EO 14420 (8/26/26): DOE may block turbines with a foreign-adversary nexus; rules due **12/24/26**
- Jereh settled Iran-sanctions charges with OFAC in 2018

2027 Power EBITDA Scenarios (\$M)



Source: Q2'26 call, order release, thesis file

ORDER: \$1.465B

UNITS: 100

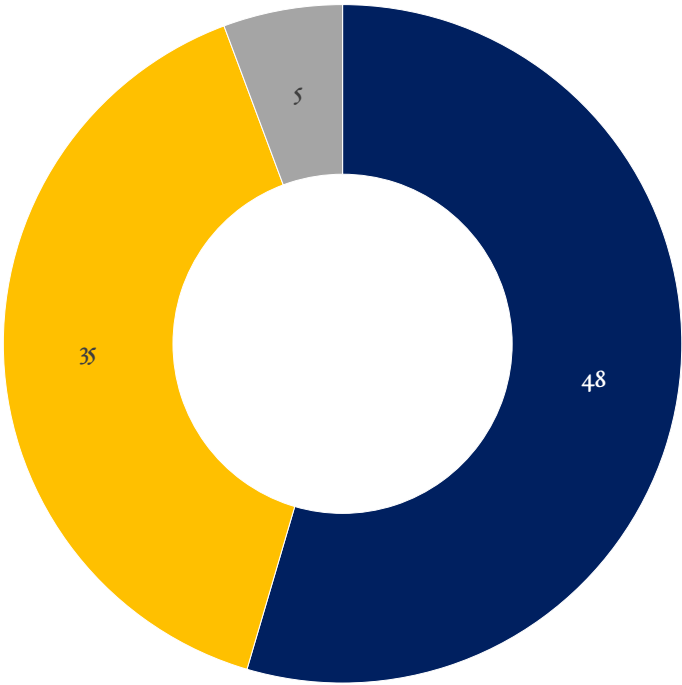
How SCI Works

- Third-party funds buy mid-life aircraft; FTAI manages, co-invests (15% in SCI II) and maintains the engines
- SCI I: \$2.0B equity, ~\$6B deployed, ~300 aircraft, ~600 engines
- SCI II (Aug 2026): \$2.0B 13-bank warehouse; goal of \$20B under management
- First securitization: \$612M on 48 aircraft (May 2026)

The Catch

- 2026 Leasing EBITDA guide cut from \$575M to \$475M
- Maintenance sold to SCI = 21% of AP revenue, priced by FTAI as manager

Q2'26 Leasing EBITDA Mix (\$88.2M)



■ Balance-sheet leasing + gains ■ SCI fees + co-invest
■ Insurance recoveries

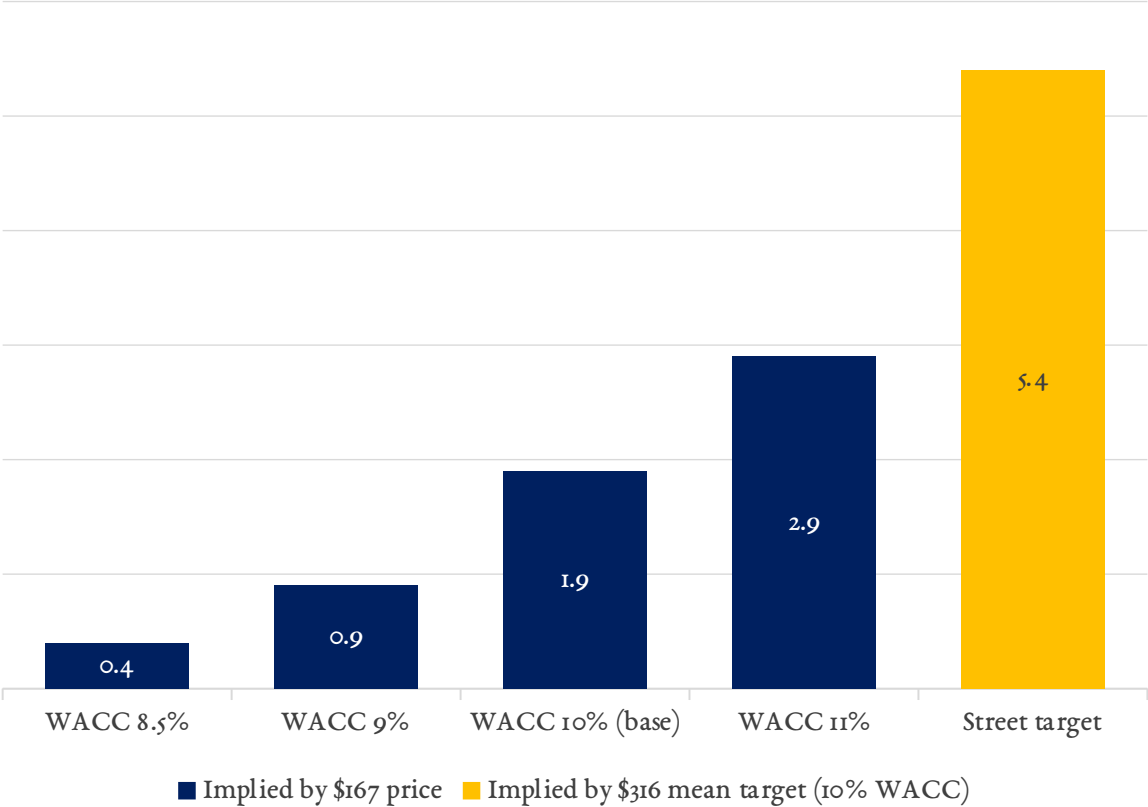
Source: Q2'26 earnings call (approximate)

~\$353M run-rate vs. a \$450M 2027 target (S8)

Bull (L8): a captive ~600-engine pool

V. Valuation

Perpetual Growth After 2027 Implied by Each Valuation (%)



Source: Reverse DCF with 2027 total EBITDA at plan (\$2.15B)

Multiples at \$167.03

Metric	Multiple
EV / TTM Adj. EBITDA	17.3x
EV / 2026E EBITDA	15.5x
EV / 2027 plan EBITDA	9.6x
P/E on 2027 plan EPS (~\$13.50)	12.3x
Street mean target / 2027 EBITDA	16.8x
Peers	
StandardAero (EV/EBITDA)	~14.5x
TransDigm (EV/EBITDA)	~18-21x
HEICO (EV/EBITDA)	~34-40x

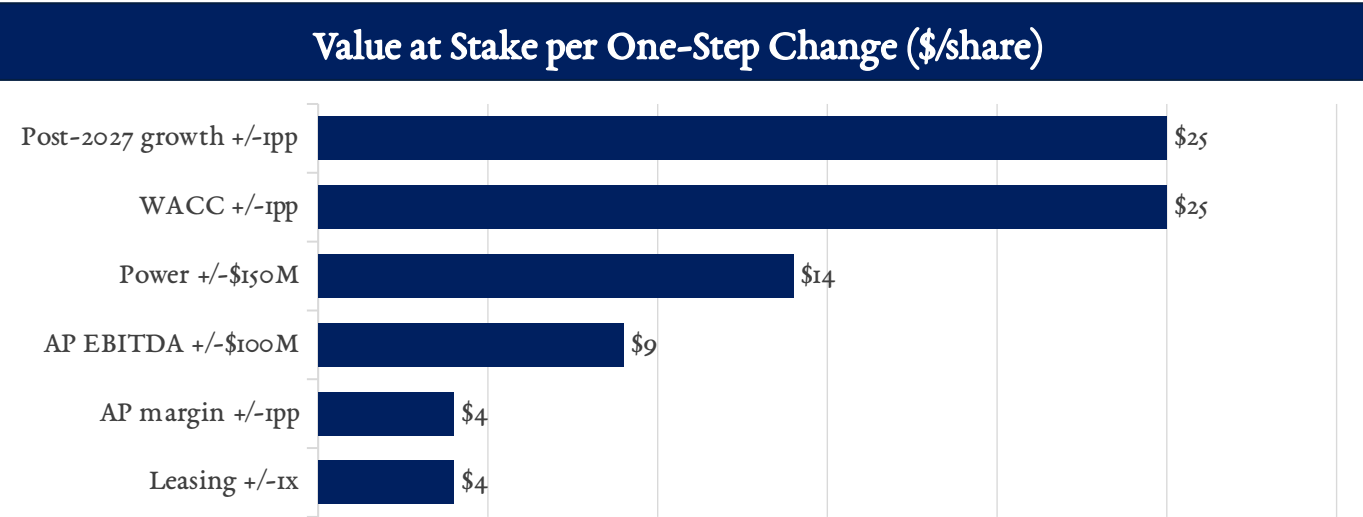
- Peers own their IP or span many engines; FTAI rents CFM's IP on one engine family

Price = 2027 plan on time, then +1.9%/yr forever

If earnings fade 2%/yr, price needs \$3.2B 2027 EBITDA

The Load-Bearing Variables Are Durability and Power Delivery

Variable	Implied by price	Consensus	Our base	Range	Sensitivity (\$/sh)
Post-2027 growth (perpetual)	+1.9%	+5.4% (Street)	~-2%	-4% to +3%	+/-1pp = +/- \$25
2027 AP EBITDA	Plan (\$1.4B)	\$1.4B	\$1.3B	\$1.15-1.5B	+/- \$100M = +/- \$9
2027 AP EBITDA margin	~30%	29.8%	27.5%	25-31%	1pp = \$4
2027 Power EBITDA	\$450M+	\$450M	\$300M	\$0-750M	+/- \$150M = +/- \$14
2027 Leasing / SCI EBITDA	\$450M	\$450M	\$450M	\$400-500M	+/- 1x = +/- \$4
WACC	10%	n/a	10%	9-11%	+/- 1pp = -/+ \$21-28

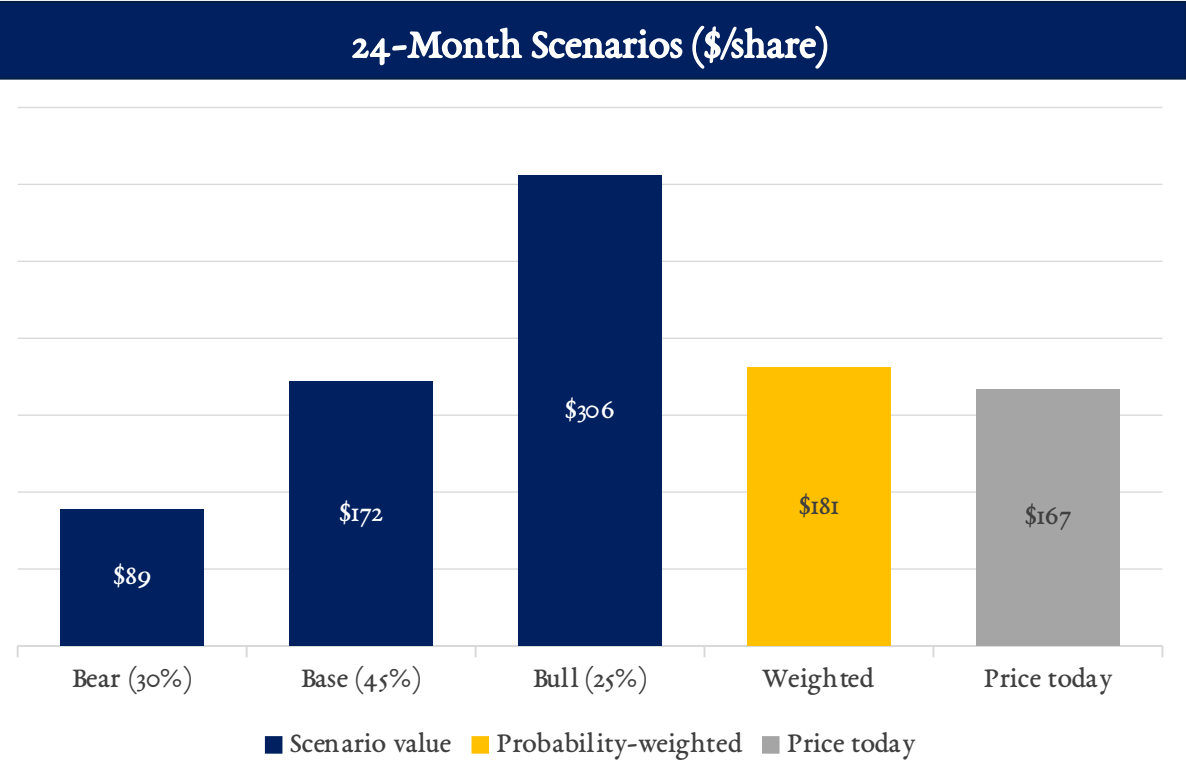


Base Rates

Growth: plan needs 56%/yr AP growth; \$2-5B firms average 6.9%

Durability: ~41% of top-quintile ROIC firms stay there ~9 years

SCENARIOS: 24-MONTH VALUE VS. INTRINSIC DCF



Source: Model, App. A: exit at Oct 2028 on 2029E EBITDA, incl. ~\$4 of dividends

+8% in 24 months (~4%/yr) vs. a -10% hurdle

Skew: +83% bull vs. -46% bear

Weighted DCF (30/45/25): \$98 a share

Even the bull DCF is only ~11% above price

Intrinsic SOTP DCF at 10% WACC (\$M)

Block	Bear	Base	Bull
Aerospace Products	5,488	7,820	14,017
FTAI Power	242	1,889	4,295
Leasing / SCI	2,400	3,600	5,000
Corporate cost	(867)	(867)	(867)
Enterprise value	7,263	12,442	22,446
Value per share	\$39	\$89	\$185

24-Month Scenario Math

Scenario	2029E EBITDA	Exit multiple	Value
Bear (30%)	\$1.55B	7.5X	\$89
Base (45%)	\$2.18B	9.0X	\$172
Bull (25%)	\$2.84B	11.5X	\$306
Probability-weighted			\$181

VI. Risks, Catalysts & Recommendation

KEY RISKS TO OWNING FTAI

EO 14420: US policy blocks Jerih-packaged Power gensets	Level of Risk High	Mitigation: US assembly of Mod-1 packages, or a DOE carve-out for behind-the-meter units, would neutralize it. Watch DOE rules due 12/24/26 and J&F disclosures.
AP margin keeps sliding toward 25%	Level of Risk High	Mitigation: The last two PMA parts and normalizing worksopes could restore ~30%+. This risk is falsified if AP margin is 30%+ in both Q3 and Q4'26.
CFM56 run-off speeds up as LEAP fixes land	Level of Risk Medium	Mitigation: Share gains (14% toward a 25% target), V2500 work and LEAP entry via SCI (2028-29) extend the runway. A GE 2028 retirement guide of 2.5% or less would ease it.
Earnings quality: affiliate revenue and open litigation	Level of Risk Medium	Mitigation: Clean KPMG control opinion and the 2025 Audit Committee review limit accounting risk. Disclosing third-party vs. SCI margins would help most.

Dated Tests Over the Next 15 Months			
Date	Event	Watch for	Tests
10/28/26	Q3'26 results	AP EBITDA \$270M+; AP margin 28%+; 300+ modules; H2 needs ~\$578M	S2, L1
12/24/26	DOE rules under EO 14420	Treatment of turbines, behind-the-meter units, US assembly	S4
End-2026	First Mod-1 delivery	On-time shipment and commissioning	S3, L2
Jan 2027	GE 2027 outlook	CFM56 retirement and shop-visit guide	L3, S9
Feb 2027	Q4'26 and 2027 guidance	Segment EBITDA \$2.3B+ reaffirmed; FY26 Adj. FCF \$850M+	L4, S6, S8
3/31/27	Mod-1 commissioning	First unit commissioned on schedule	S3
6/30/27	Power follow-on order	No follow-on order falsifies L2; \$1B+ for 2028+ delivery tests S1	L2, S1
Jan 2028	GE 2028 outlook	Retirements 3.5%+ (bear) vs. 2.5% or less (bull)	L3 vs. S9

Exit any long: 2027 segment EBITDA guide below \$2.0B

Turn long: below ~\$120, or \$1B+ new Power orders plus AP margin 30%+

Base-Case Value Sensitivity (\$/share)

EVERY CELL SITS BELOW THE \$167 PRICE

WACC \ AP plateau after 2028	2 yrs	4 yrs	6 yrs	8 yrs
9%	\$85	\$92	\$99	\$105
10% (base)	\$81	\$89	\$94	\$99
11%	\$79	\$85	\$90	\$94

Key Metrics

24-MO. VALUE: \$181	DCF VALUE: \$98
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Why Not Short

- Catalysts lean positive near term; 10.4% short interest and a \$500M buyback add squeeze risk

Carry-Forward Theses & Diligence

1	S4: EO 14420 risk to Power
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Where are J&F units built, and do DOE rules cover them?

2	S2: AP margin of 27% or less
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Third-party vs. SCI margins; heavy vs. light worksopes?

3	L3: retirements of 2% or less
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Do GE's 2027-28 assumptions stay at or below 2%?

What Would Change Our Mind

- Buy below ~\$120, or on \$1B+ of 2028+ Power orders plus AP margin 30%+
- Short if 2027 guidance lands below \$2.1B with the stock above \$200

VII. Appendix

Methodology

- Data as of the 10/2/26 close; filings through the Q2'26 10-Q
- Reverse DCF: 10% WACC, 76% cash conversion, \$20.6B diluted EV
- SOTP: AP plateau then run-off; Power plateau then fade; Leasing at a multiple
- Theses scored 1-5 on Edge, Materiality, Testability, Evidence
- Figures from search extracts of filings (SEC site blocked); single-source items flagged

Key Sources

- FTAI: Q2'26 release and 10-Q; FY25 10-K; Q4'25-Q2'26 calls; 2026 proxy
- Street: MarketBeat (9/23/26); firm notes; Earnings Whispers
- Industry: GE Aerospace calls; Aviation Week; Leeham; IATA (June 2026)
- Peers: StandardAero, Willis Lease, AerSale FY25 releases
- Policy: EO 14420 (Baker McKenzie, V&E); OFAC (2018); Section 232 (KPMG)
- Base rates: Mauboussin & Callahan (2026); Damodaran (2026)